

Problem Statement

Date	27 June 2026
Team ID	
Project Name	Credit Card Approval Prediction
Maximum Marks	2 Marks

Problem Statement Template

I am	(customer/user)
I am	a bank credit analyst, loan officer, or an individual applicant
I'm trying to	(customer's goal)
I'm trying to	decide whether a credit card application should be approved or rejected, quickly and accurately
But	(challenge/barrier)
But	manually reviewing income, existing loan balances, employment history, and credit inquiries for every application is slow and inconsistent, and different reviewers can reach different conclusions for similar profiles
Because	(root cause)
Because	there is no automated, data-driven system that consistently applies approval criteria across thousands of applications, forcing banks to rely on manual, error-prone judgment
Which makes me feel	(emotional impact)
Which makes me feel	frustrated by delays and uncertain whether decisions are fair, while applicants feel anxious not knowing their approval odds before submitting an application

Problem Statement (PS)

Banks and financial institutions receive thousands of credit card applications every day, a significant portion of which are rejected due to factors such as high existing loan balances, insufficient income levels, or excessive credit inquiries. Manually reviewing each application is both time-consuming and prone to human error, making it an inefficient process at scale. There is a need for an automated, machine-learning-driven system that can evaluate applicant financial and demographic data to predict credit card approval or rejection instantly, consistently, and accurately — reducing manual workload for banks while giving applicants faster, clearer visibility into their eligibility.

Impact of the Problem

For Banks

- Higher operational cost of manual review teams
- Inconsistent approval decisions across reviewers
- Slower turnaround increases applicant drop-off

For Applicants

- Long wait times for a yes/no decision
- No visibility into eligibility before applying
- Perceived unfairness due to inconsistent criteria

Project: Credit Card Approval Prediction